Marketing Strategy
Chapter 2



Marketing Principle #1

All Customers Differ → Managing Customer Heterogeneity

© Palmatier

Agenda



- **Introduction**
- Approaches for Managing Customer Heterogeneity
  - Evolution of Approaches for Managing Customer Heterogeneity
  - Segmenting, Targeting, and Positioning (STP) Approach
  - Customer-Centric Approach
- Framework for Managing Customer Heterogeneity
  - Inputs to Managing Customer Heterogeneity Framework
  - Outputs of Managing Customer Heterogeneity Framework
  - Process for Managing Customer Heterogeneity
- Takeaways
- Examples/Case

© Palmatier

All Customers Differ

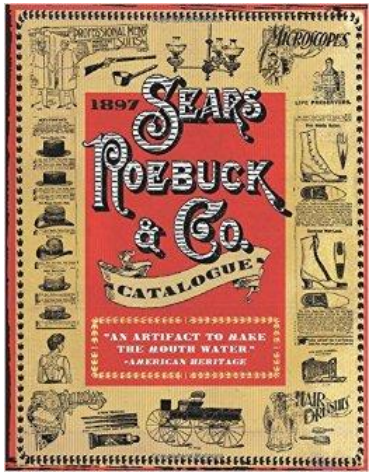


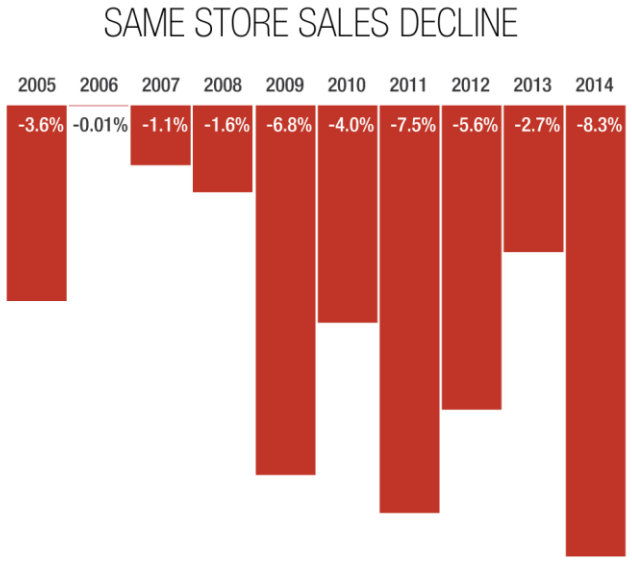
- Most basic issue facing managers, as they make strategic marketing decisions for their firms is that all customers differ
  - **Customer heterogeneity** is variation among customers in terms of their needs, desires, and subsequent behaviors
- In response, firms are targeting smaller & smaller segments
  - Mass marketing → niche marketing → 1 to 1 marketing
  - Competitive race as firms target smaller segments
  - But it is hard to effectively compete in all segments
- Drivers
  - Matches inherent customer desires (real, perceived)
  - Faster response to customer trends and changes
  - Technology enabled (more economical to target/customize)
  - Only limited by tradeoff in efficiency (cost) versus benefit of better match to need (solution)

© Palmatier

Example: Sears & Roebuck (US)

- "Big Book" catalog
- Once very successful broad line catalog operation, offering "something for everyone"
- Over time, other firms identified and went after the best and most profitable sub-segments
- This left Sears with a broad portfolio of diverse customers in less desirable segments that were often slow growing and less profitable, and ultimately, the end of the "Big Book"





© Palmatier

In Class Exercise on Customer Heterogeneity



- Everyone take 2 minutes to list your favorite retailer, and why _____
  - First reason _____
  - Second reason _____
- How could one retailer be the best at satisfying all of you?
- What segment is each retailer targeting?
- What are Walmart's and Nordstrom's target segments?
- What happened to JC Penny and Gap?

© Palmatier

5 Sources of Customer Heterogeneity



- Individual differences
- Life experiences
- Functional needs
- Self-identity/image
- Marketing activities

© Palmatier

Five Sources of Customer Heterogeneity

Source	Description	Examples
Individual differences	A person's stable and consistent way of responding to the environment in a specific domain	Favorite colors, Big Five personality traits – openness, conscientiousness, extraversion, agreeableness, neuroticism
Life experiences	Events and experiences unique to the person's life that have a lasting impact on the value and preferences they place on products and services, which then affect preferences, independent of individual differences	A child raised closer to the equator, in warmer climates, will typically have a higher preference for spicy foods, as a carryover of past periods when spices were used to preserve and help mask the taste of food more likely to spoil in warmer climates
Functional needs	Personal decision weightings across functional attributes based on their personal circumstances	For electronic devices, functional needs vary with the individual and usage situations, including the price people can afford to pay (income), how long the product needs to last (quality, warranty), when they use the product (battery powered, size), and if they require special usage features (waterproof)
Self-identity/ image	Customers actively seek products that they believe will support or promote their desired self-image	Motorcycle riders often wear leather (functional and image driven); Goths like the color black, due to their desire to identify with the image of a specific user or social group
Marketing activities	Firms' attempts to build linkages between their brands and prototypical identities or meanings	BMW paid $25 million to have James Bond drive a BMW in the movie Skyfall, based on the belief that Bond's image would be aspirational to many potential target customers – men aged 30–50 years

Customer Heterogeneity: A Fundamental Assumption of Marketing Strategy



- Customer heterogeneity is a fundamental "problem" that all firms must address when developing an effective marketing strategy

- Customer heterogeneity may be latent or hidden
  - Customers vary on some underlying preferences, but no firms are supplying offerings that fit their desires, so those preferences are not evident
  - Customers might not even know of their diverse preferences, because they have no options to evaluate

- Assuming all customers are the same is a recipe for failure, at least in the long term, as competitors will better satisfy subsegments with more aligned offerings, leading to a downward spiral in which the firm has fewer, less profitable customers that are more costly to serve

Marketing principle #1: all customers differ and an effective marketing strategy must manage ever-present customer heterogeneity

© Palmatier

Latent Customer Heterogeneity



- **Latent customer heterogeneity** is defined as potential differences in desires that are unobserved and have not become manifest in customer purchase preferences or behaviors yet

- Latent customer heterogeneity can stem from several constraints:
  - Legal constraints (government regulations, patents)
  - Economic constraints (prohibitive prices, due to the size of the market or the costs of providing)
  - Technological constraints (only way known to make something)
  - Innovative constraints (no firm has yet identified and satisfied the need)

© Palmatier

Example: AT&T (US)



- In 1984, AT&T lost its U.S. government–granted monopoly, so direct competition began
- By 1991, the company lost 83% of its sales revenue
- Deregulation of this market allowed for the entrance of many new competitors, determined to satisfy customer needs better
- Western Electric (the subsidiary of AT&T) came to an end in 1995

© Palmatier

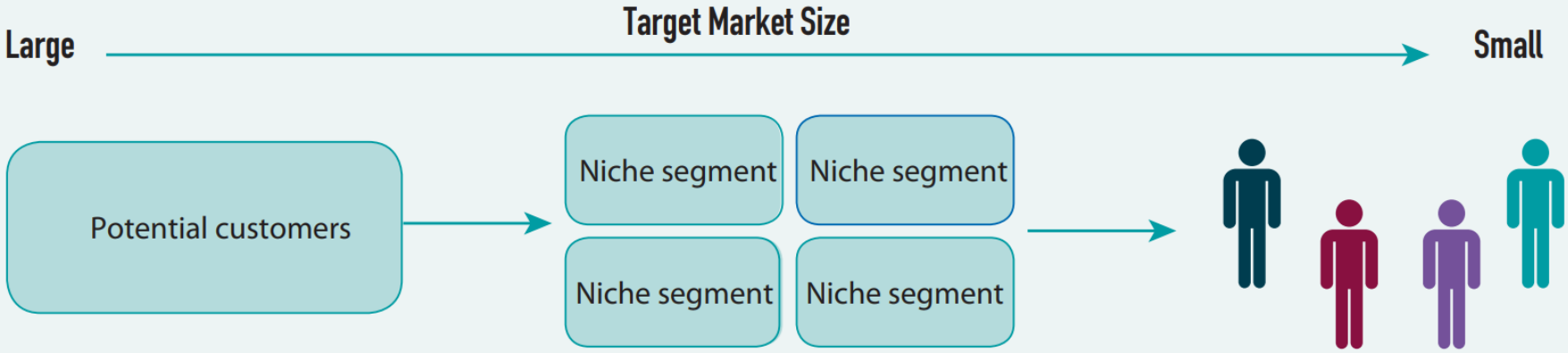
Agenda



- Introduction
- **Approaches for Managing Customer Heterogeneity**
  - Evolution of Approaches for Managing Customer Heterogeneity
  - Segmenting, Targeting, and Positioning (STP) Approach
  - Customer-Centric Approach
- Framework for Managing Customer Heterogeneity
  - Inputs to Managing Customer Heterogeneity Framework
  - Outputs of Managing Customer Heterogeneity Framework
  - Process for Managing Customer Heterogeneity
- Takeaways
- Examples/Case

© Palmatier

Evolution of Approaches for Managing Customer Heterogeneity



Mass marketing, which utilizes mass media to appeal to an entire market with a single message

Niche marketing, which concentrates all marketing efforts on a small but specific and well-defined segment of the population

One-to-one marketing, which advocates tailoring of one or more aspects of the firm's marketing mix to the individual customer

Trends Enabling Smaller and Smaller Target Markets

Few national channels (broadcasting)	Media	Many cable channels (narrowcasting)
Large batch manufacturing/printing	Printing and Manufacturing	Modular manufacturing/ digital printing
Phone/direct mail	Communication	Internet/mobile

Evolution of Approaches for Managing Customer Heterogeneity



- **Mass marketing era** used mass media to appeal to an entire market with a single message, is a marketing strategy in which a firm mostly ignores customer heterogeneity, with the assumption that reaching the largest audience possible will lead to the largest sales revenue

- **Niche marketing era** focused marketing efforts on well-defined, narrow segments of consumers, and by specializing, this method seeks to give the firm a competitive advantage

- **One-to-one marketing era** is marked by a shift towards one-to-one marketing, such that firms attempt to apply marketing strategies directly to specific consumers

- Across all three eras, the underlying method for dealing with customer heterogeneity is the same: focus on smaller and smaller groups of customers, such that the needs of each group are more similar as they get subdivided into smaller units, until the focus reaches an individual customer

© Palmatier

Example: Spotify (Sweden)

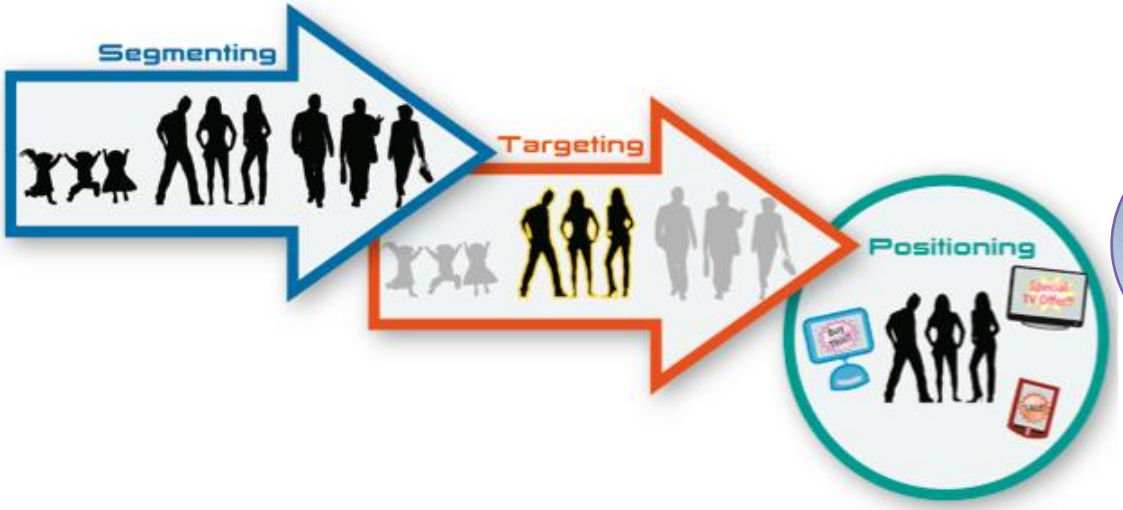


- The Swedish streaming service understands the significance of personalization. Its flagship feature, Discover Weekly, provides listeners with personalized content that reflects their listening history.
- The tailor-made playlists attract 40 million users per month. Then Spotify capitalizes on this one-to-one ability to access customers and their preferences by selling advertising space within the playlists.
- By identifying customer preferences, Spotify provides listeners with what they want while allowing firms to reach those customers on a more personal level.

© Palmatier

Segmenting, Targeting, and Positioning (STP) Approach

- In order to better match heterogeneous customer needs, firms focus their efforts on small "homogenous" customer groups
- **Segmenting**: Dividing market into groups of similar customers (slice the pie into pieces)
- **Targeting**: Selecting best customer group to sell to (picking the slice to eat)
- **Positioning**: Improve your relative advantage in the minds of your targeted customers (also addresses Marketing Principle 3 by building SCA)



See *Business Model Analysis for Entrepreneurs* for how to adapt this process for startups

© Palmatier

Segmenting



- Consists of dividing the market into groups of customers where:
  - Customers within group have very similar needs
  - Customers across groups have different needs
- **Needs**: Needs and benefits desired by customers for your offering
  - Segment on needs/benefits not descriptors
  - Uses one of the "Cs" as input: **customers**
- **Descriptors**: Observable customer characteristics that help you find and classify customers (e.g., gender, age, income, size, education, etc.)

See *Customer Segmentation in B2B Markets*

© Palmatier

Segmentation Steps



1. Identify and refine "pool" of potential customers needs and descriptors (qualitative research)

2. Collect data from random assortment of potential customers on "importance" of needs/benefits to purchase decision

3. Use "needs/benefits" to segment the market into 3 to 7 homogeneous customer groups
   - Often need to group like questions together using factor analysis before clustering customers
   - # segments based on results, ability to manage, and actionable

4. Name segments (communication tool)

© Palmatier

Factor Analysis



- Factor analysis is a data reduction technique that can be used to identify a small number of latent "factors" that explain the major variation in a large number of observed variables

- When to use it?
  - To condense a large "pool" of potential customer needs, wants, and preferences into a short set of similar characteristics
  - To reduce high correlation among predictors

- Factor analysis groups similar questions (purchase attributes) together to avoid biasing the further analyses; the cluster analysis groups similar customers together into segments; and the **multiple discrimination analysis (MDA)** predicts true segment membership using demographic variables to facilitate targeting and positioning decisions

© Palmatier

Data Analytics Technique 2.1

Factor Analysis

Description

Factor analysis is a data reduction technique that can be used to identify a small number of latent "factors" that explain the variation in a large number of observed variables.

When to Use It

- To condense a large pool of potential customer needs, wants, and preferences into a short set of similar characteristics.
- To reduce high correlation among predictors.

How It Works

We begin with a large number of measured variables (e.g., 30) from customer surveys. The factor analysis algorithm synthesizes these many variables into smaller sets (e.g., 3–4) of latent "factors" that capture the meaning of the measures. To choose the total number of factors to retain, we observe how many factors have an Eigenvalue greater than 1. The strength of the association between a measure variable and its factor is called the "factor loading." When a measured variable has a factor loading greater than 0.3, it is generally associated with a factor. We categorize the measured variable by the factor on which it has the highest loading (e.g., if a variable shows factor loadings of 0.01 and 0.8 with Factors 1 and 2, we associate the measured variable with Factor 2). Finally, we interpret each latent factor, according to the conceptual commonalities that indicate why the measured variables load on this factor.

© Palmatier

Example

The manager of an online website collected customer satisfaction data from a survey of 1,000 customers, covering eight aspects of the company's focal product. The table shows the factor loadings of a few variables after conducting a factor analysis with three factors. Factor 1 is highly associated with product diversity, specialty, and price; it can be interpreted as the "product" factor. Factor 2 is associated with cash back and discounts and is thus labeled the "promotion" factor. For Factor 3, the "service" factor, the delivery service and customer service have the highest factor loadings. The factors then provide input for segmentation analyses. The figure shows the focal attributes associated with each factor.

Attribute	Factor 1	Factor 2	Factor 3
Product Diversity	0.665	–0.016	0.017
Product Specialty	0.681	–0.056	0.006
Product Price	0.638	0.284	0.173
Cash Back	–0.042	0.712	0.051
Discount	0.216	0.781	0.103
Delivery Service	–0.007	0.178	0.752
Customer Service	0.155	0.199	0.739

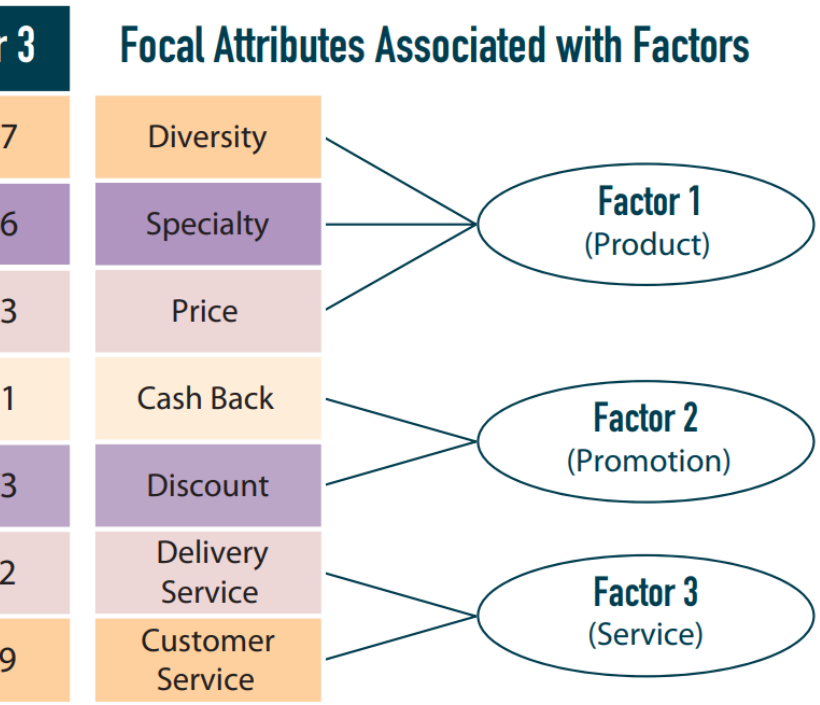


Figure 2.2 Four Factor Solution

Data Analytics Technique 2.2

Cluster Analysis

Description

Cluster analysis is a data-driven partitioning technique that can identify and classify a large set of heterogeneous consumers or companies into a small number of homogeneous segments.

When to Use It

- To demystify customer heterogeneity by understanding similar preferences across subsets of customers.
- To discover how consumers naturally differ and cater to the unique needs of chosen target customer segments.

How It Works

Cluster analysis usually consists of two steps: segmenting and describing. To perform these two steps, we need two kinds of variables: bases and descriptors. Bases (e.g., desired product features, pricing requirements) provide foundations for segmenting consumers by their differences. Descriptors (e.g., demographic and geographic information) profile and eventually target the derived segment.

1. In the *segmentation step*, we identify subsamples of customers that are homogeneous in their bases (e.g., ratings on product preferences) and markedly different from other subsamples. For example, customers in one cluster might have strong quality preferences and do not mind paying a high price; customers in another cluster may be very value conscious and refuse to pay high prices.

© Palmatier

Data Analytics Technique 2.2

Cluster Analysis

2. In the *describing step*, we use descriptor variables to explain how the subsamples differ. We use them to derive efficient targeting strategies, tailored to each subsample. For example, customers in the quality cluster might be mostly men in their early 40s, but those in the price cluster are mostly women in their early 20s. Using both bases and descriptor variables, we reveal how customers differ, which customers to target, and what marketing program to use.

Marketing Engineering, SAS, and SPSS software packages can help conduct the segmenting step. Two helpful approaches are K-means and hierarchical clustering.

After the cluster analysis, we need to review the segmentation results, to determine if the derived clusters make intuitive sense. These evaluations should include some important criteria:

- *Identifiability*: Do the derived segments represent real segments of customers, and can they be profiled using descriptors?
- *Stability*: Are the derived segments likely to change rapidly over time?
- *Responsiveness*: Will each targeted segment respond to the planned marketing strategies?
- *Viability*: Can the company achieve its desired financial objectives with the segmentation scheme?

© Palmatier

Example 1

Imagine there are five customers, rated by their intention to purchase (1–15 scale). A hierarchical clustering procedure that uses Ward's minimum variance criteria can minimize the sum of the square of errors. It starts by assuming each customer is its own cluster. Combining customers 3 and 4 seems intuitive: They have similar purchase intentions, and the combination results in a limited loss of information (0.5 on the dendogram). Similarly, combining customers 1 and 2 results in a limited loss of information (4.5). Thus, five customers can be combined into three segments (1,2), (3,4), and (5). If we try to combine (3,4) and (5) though, the loss of information (25.8) is prohibitive. Thus, we stop at three segments: (1,2), (3,4), and (5).

Customers	Purchase Intentions
1	3
2	6
3	10
4	11
5	14

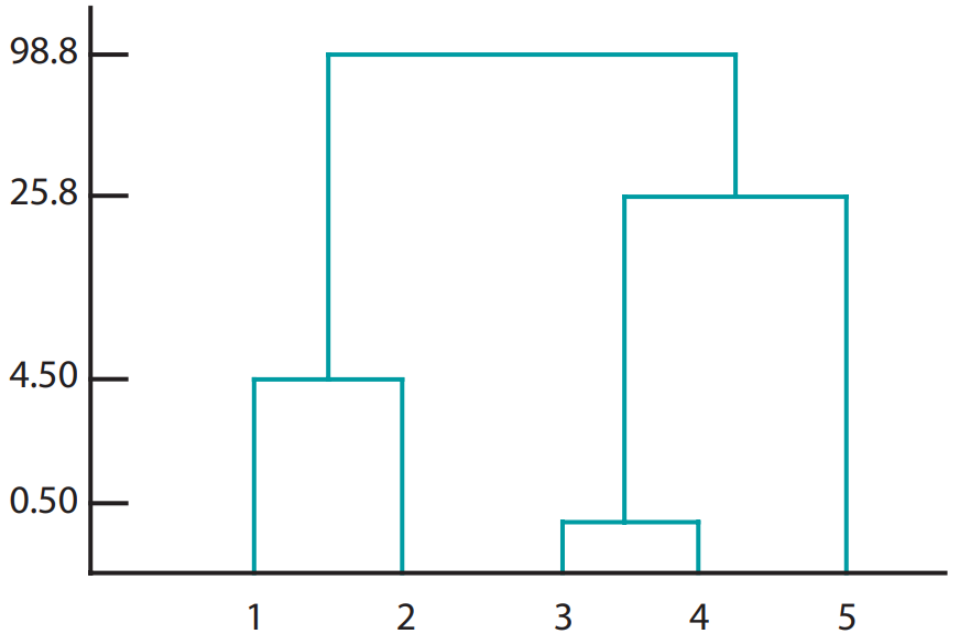


Figure 2.4 Hierarchical Clustering Solution

© Palmatier

Example 2

A company conducted an annual customer satisfaction survey to collect perceptions of an advertised product's price, quality, and distribution (on a 5-point scale). To improve customer satisfaction and design more efficient targeting strategies, the company conducted a partition-based clustering analysis of the data. It identified three segments: consumers who are dissatisfied on all three attributes (Segment 1), consumers who are highly satisfied on all three attributes (Segment 2), and consumers who are highly satisfied on quality and distribution but dissatisfied on price (Segment 3). The table lists the mean statistics for each segment.

	Price	Quality	Distribution
Segment 1	1.82	1.97	2.95
Segment 2	4.31	4.05	4.57
Segment 3	2.75	4.45	4.32

Figure 2.5 Three Segments of Customers

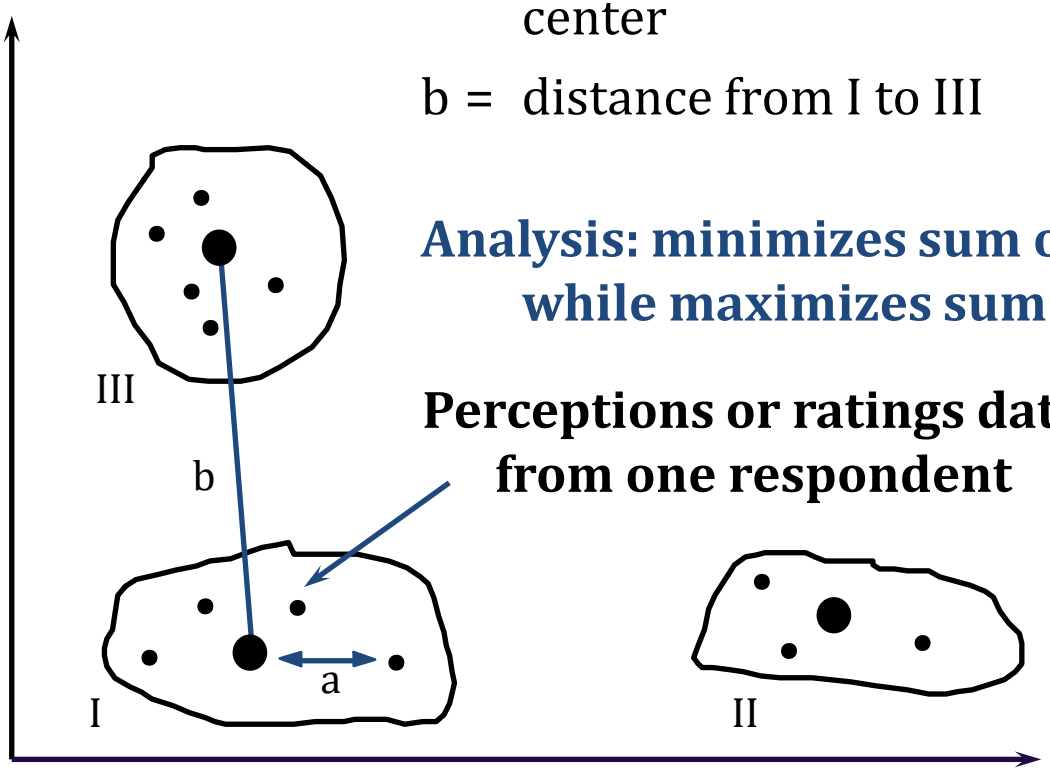
© Palmatier

Cluster Analysis is a Good Tool To Group Customers

a = distance from member to cluster center

b = distance from I to III

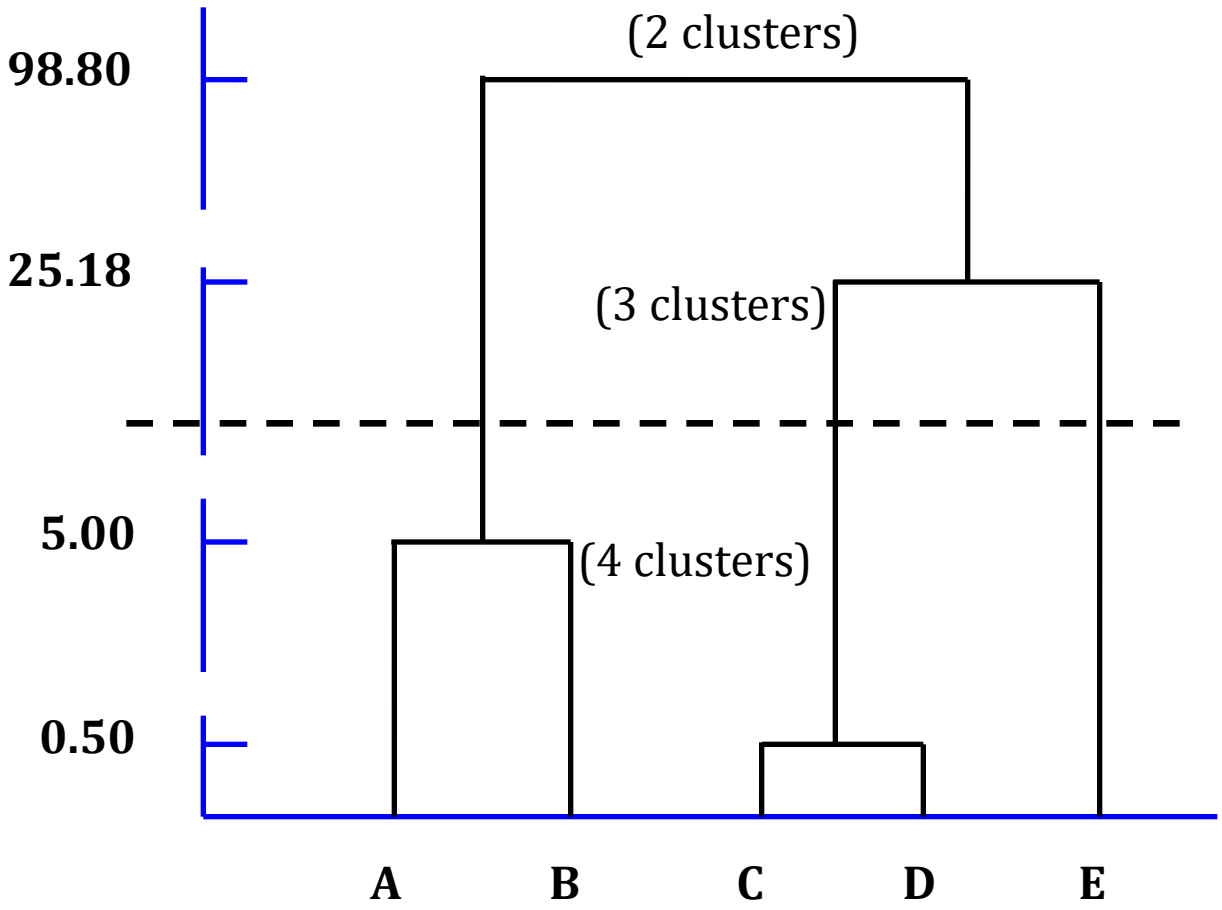
Analysis: minimizes sum of a's while maximizes sum of b's



(See Data Analytic Technique 2.2 for more details)

© Palmatier

Hierarchical Clustering Procedure Gives Dendogram



- Numbers represent amount of variance explained (don't worry about actual numbers but rather change)
- Pick number of clusters where variance explained is relatively large
- 3 clusters look best since 4 clusters only gives "5" more units versus 99 and 25
- But, look at 4 clusters to see what is different

(See Data Analytic Technique 2.2 for more details)

© Palmatier

Discriminant and Classification Analyses



- Discriminant and classification analyses are multivariate statistical techniques used to determine how segments of consumers differ in their characteristics

- When to use:
  - To classify a large set of customers into small sub-groups that have different characteristics
  - To predict or classify which sub-group a new customer belongs to, so as to better target marketing activities

© Palmatier

(See Data Analytic Technique 2.4 for more details)

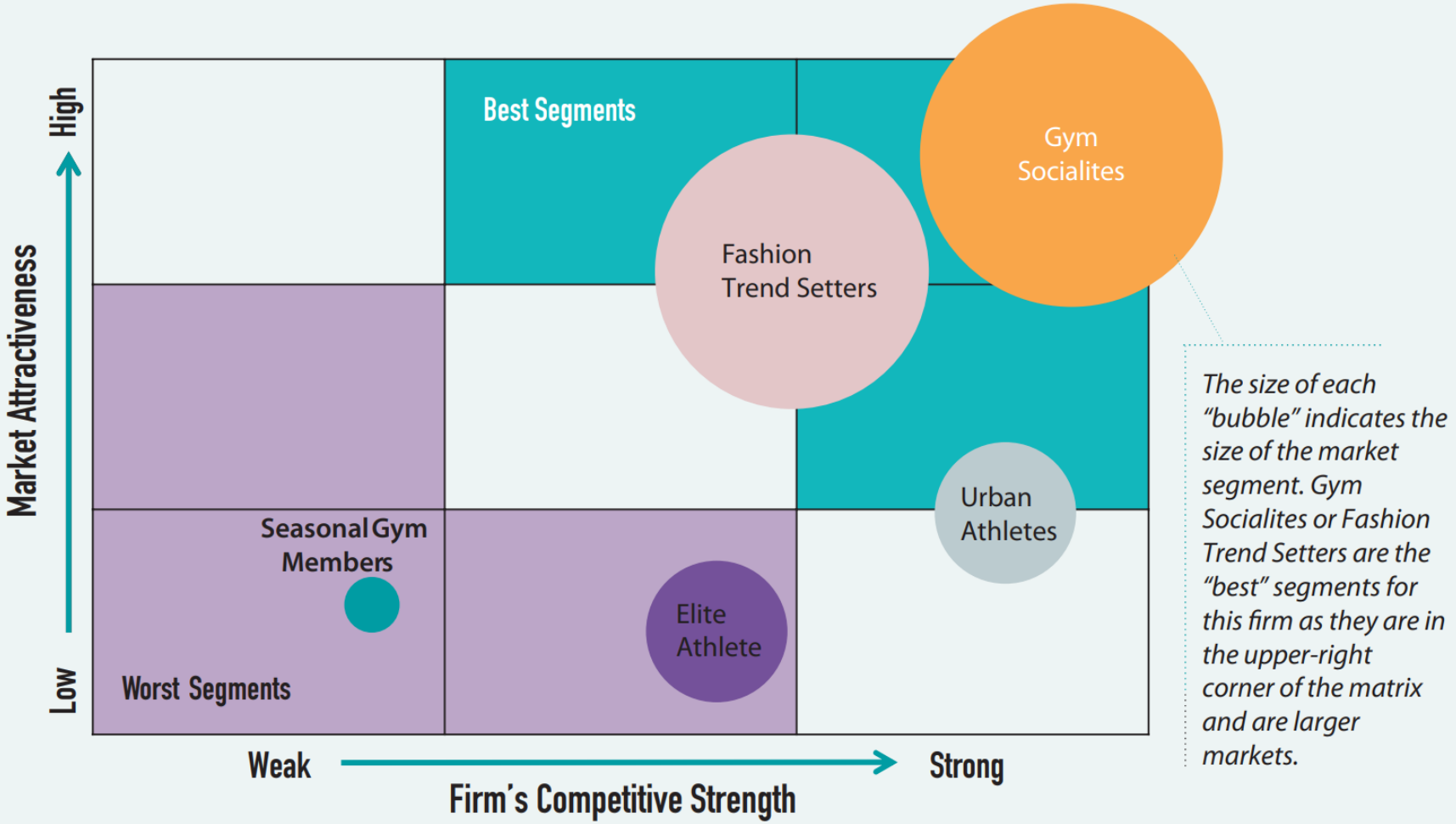
Targeting



- A market needs to select segments to target based on certain selection criteria
  - **Market attractiveness** (size, growth rate, price sensitivity, etc.)
  - **Competitive strength** (captures the relative strength of a firm, versus competitors, at securing and maintaining market share in a given segment)
- Uses all three "Cs" as input: **c**ustomer, **c**ompany, and **c**ompetitors
- An ideal target segment should meet six criteria:
  1. Based on customer needs (customer care)
  2. Different than other segments (little crossover competition)
  3. Differences match firm's competences (firm can execute within resource constraints)
  4. Sustainable (can keep customers)
  5. Customers are identifiable (can find targeted customers)
  6. Financially valuable (valuable in the long term)
- The **GE matrix** is one analysis tool designed to helps managers visualize and select target segments

© Palmatier

GE Matrix: Analysis Tool for Targeting



The size of each "bubble" indicates the size of the market segment. Gym Socialites or Fashion Trend Setters are the "best" segments for this firm as they are in the upper-right corner of the matrix and are larger markets.

© Palmatier

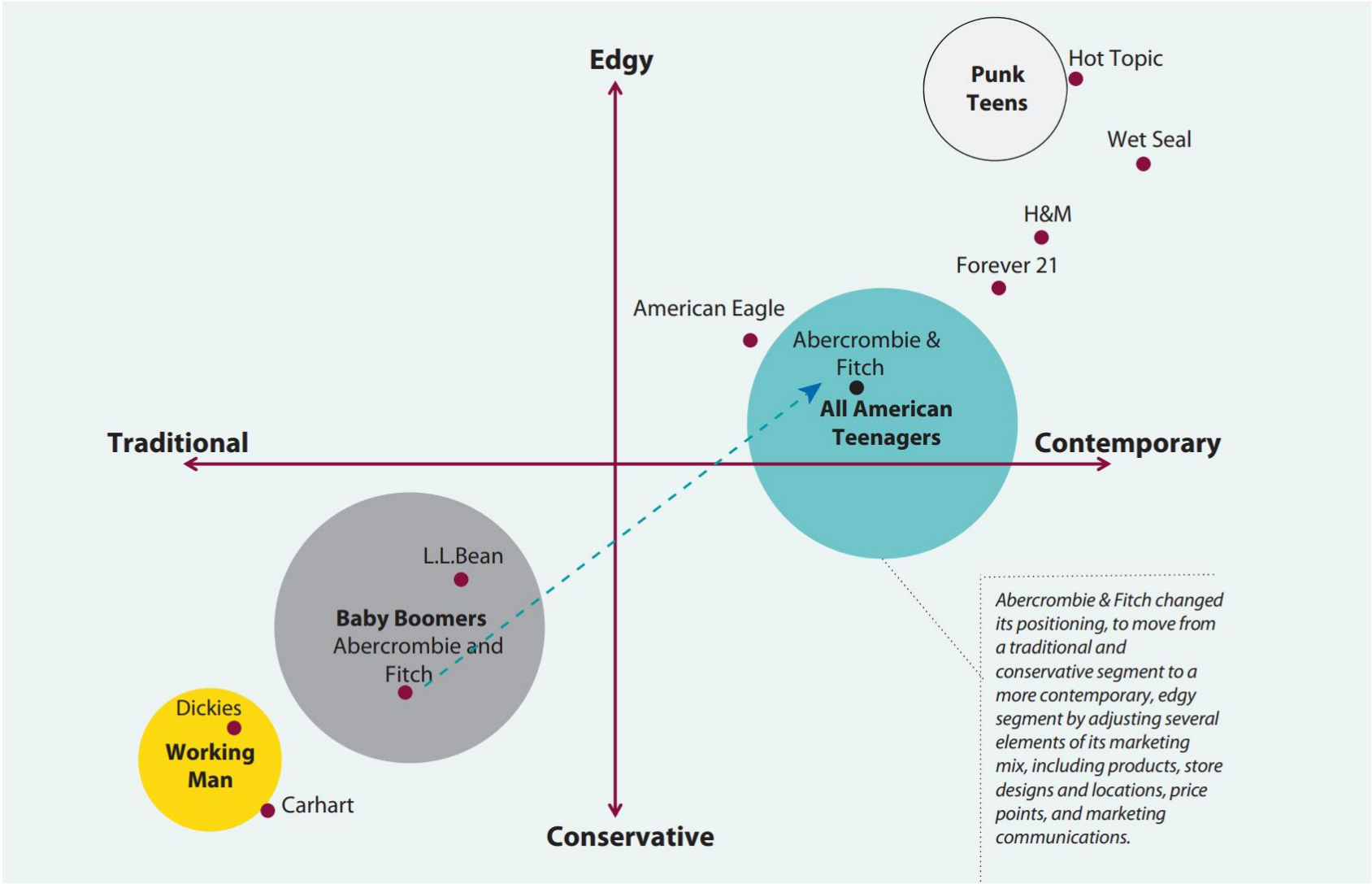
Positioning



- Process of improving your relative advantage in the minds of your targeted customers
  - Changing both your actual (e.g., innovation) and perceived offering (e.g., branding, relationships)
  - Uses all three "Cs" as inputs: **c**ustomer, **c**ompany, **c**ompetitors
- Nearly everything you do impacts your positioning
  - Channel (place): Samsung dropping Kmart
  - Price: No discounts at Tiffany
  - Promotion: Tiger Woods at Nike, Starbucks
  - Product: Bose, Apple
- **Perceptual maps:** analysis tool to aid in positioning decisions
- **Repositioning:** process by which a firm shifts its target market

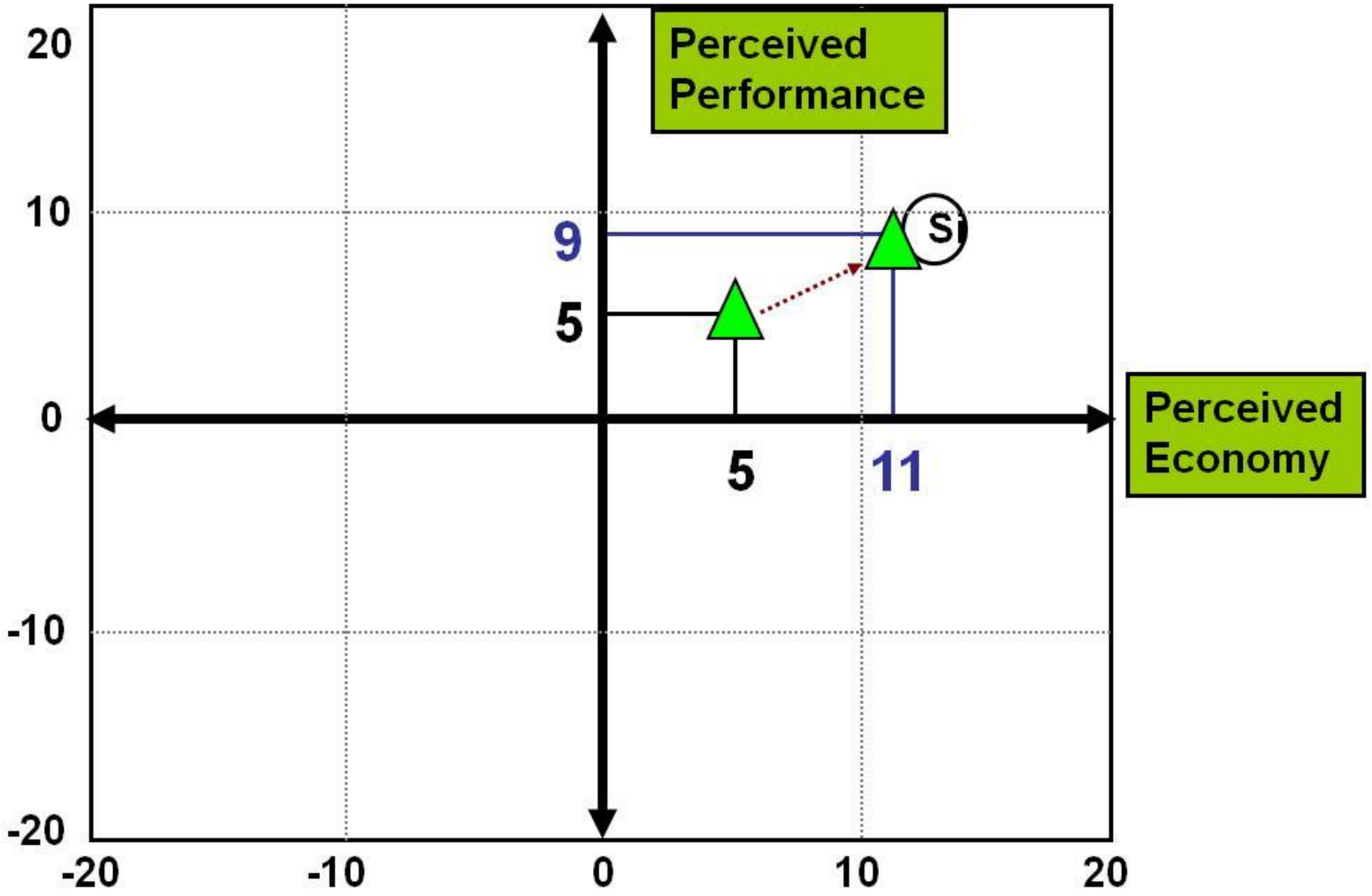
© Palmatier

Perceptual Map: Analysis Tool for Positioning



© Palmatier

Perceptual Map (Markstrat Example)



© Palmatier

Positioning Statement Must Address Three Key Questions



1. **Who** are the customers?
2. **What** is the set of needs that the product or service fulfills?
3. **Why** is this product/service the best option to satisfy your needs (relative to competition or substitute; support for why)?

- This statement is the roadmap for a plethora of implementation decisions involved in marketing a product (both inside and outside the company)

See ***Positioning: The Essence of Marketing Strategy***

© Palmatier

Evaluating a Positioning Statement



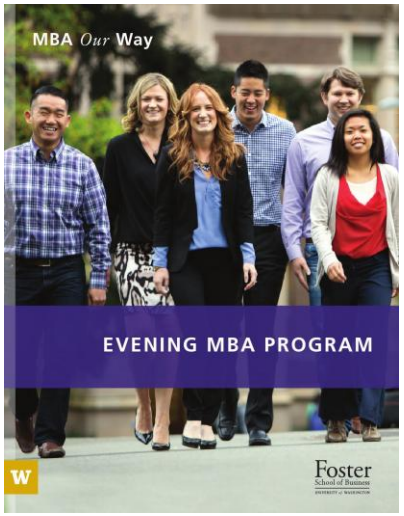
JC Penney: For [Modern Spenders and Starting-outs in mid-income levels who shop for apparel, accessories, and home furnishings] we offer [private-label, supplier exclusive, and national brands] that [deliver greater value than that of our competitors] because of [our unique combination of quality, selection, fashion, service, price, and shopping experience].

1. **Who** are the customers?
2. **What** is the set of needs that the product or service fulfills?
3. **Why** is this product/service the best option to satisfy your needs (relative to competition or substitute; support for why)?

© Palmatier

MBA Program Segmentation Analysis

1. Identify and refine "pool" of potential customers needs and descriptors
   - Needs: price, rankings, location, focus, facilities
   - Descriptors: age, gender, income, zip, house, firm size
2. Collect data from "random" sample on importance of needs
   - Sample: GMAT, mail list, contacts, undergrads (problems?)
   - Example: "MBA program ranking is very important to my decision" (1 to 7, strongly disagree to strongly agree)
3. Do factor analysis to combine like questions if needed
4. Do cluster analysis to group like customers on these factors
5. Name clusters



© Palmatier

Factor Analysis (Grouped 12 Questions into 5 Factors)



CONVENIENCE

Classes are taught within 45 minutes of my work or home.
The program is completed in one year or less.
Classes do not interfere with normal work hours (8:00 to 5:00 on M to F).

AFFORDABILITY

The price of the program is critical to my decision to attend a program.
The program is less expensive than other similar programs.

CONTENT FIT

I can customize all of my course work based on my interests and goals.
The program is tailored to my specific job function (e.g., accounting, marketing, etc.).
The program is tailored to my specific industry (e.g., medical, technology, etc.).

PRESTIGE

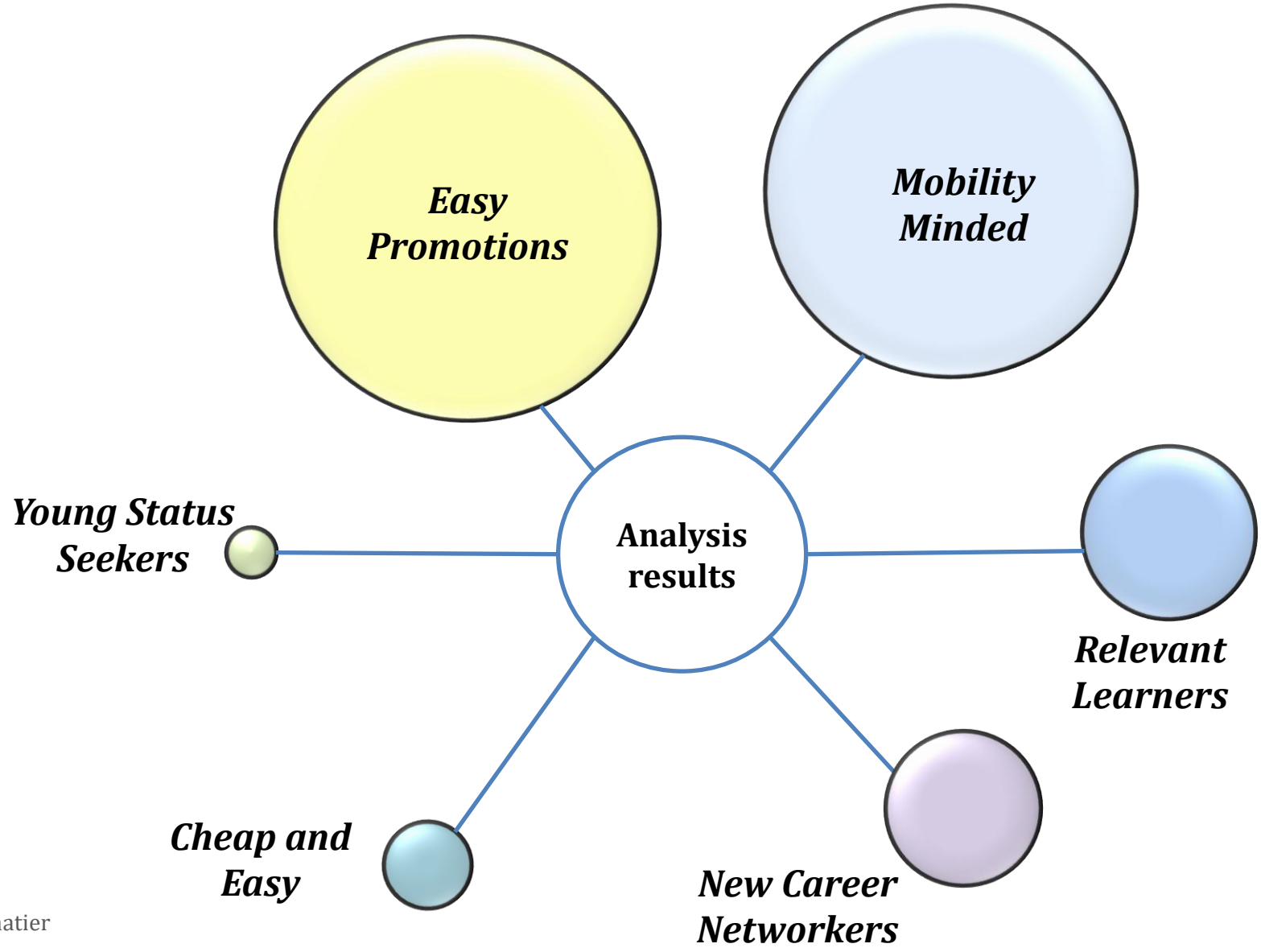
The program is highly ranked by independent sources (i.e., Business Week, US News, Economist).
The program has a strong reputation.

NETWORKING

The program facilitates frequent networking with other students.
The program offers frequent networking with local business contacts.

© Palmatier

61% of Respondents Are Split Between Two Large Segments



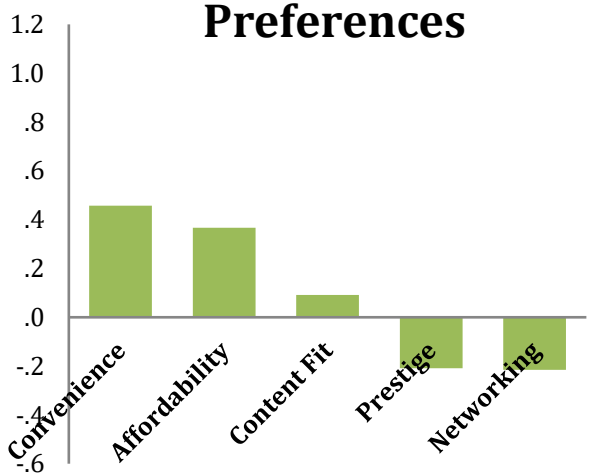
© Palmatier

Interested in **Degree**
Sample Size: 515 (31%)

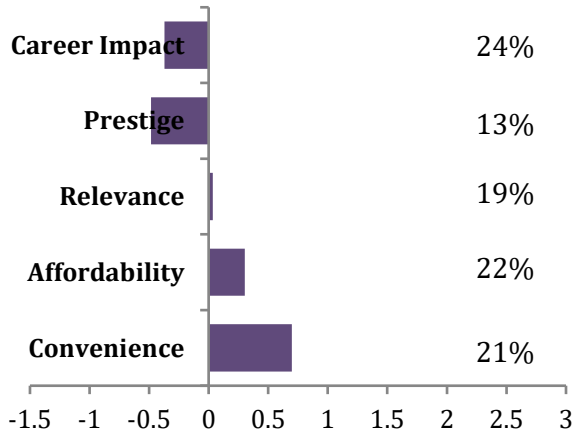
Easy Promotions

Age: 36 (+5%)
Income: $119,612 (+8%)

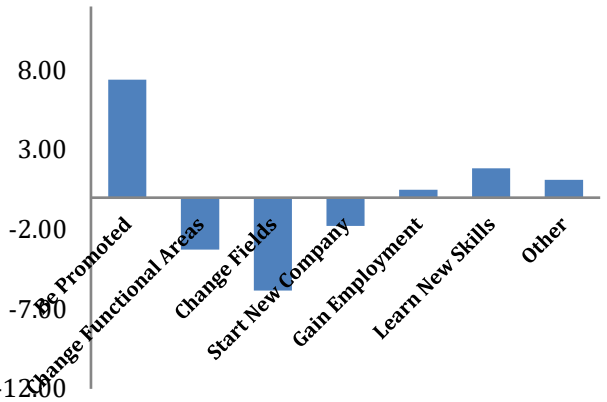
Preferences



Decision Criteria



% Selecting Reason for Degree



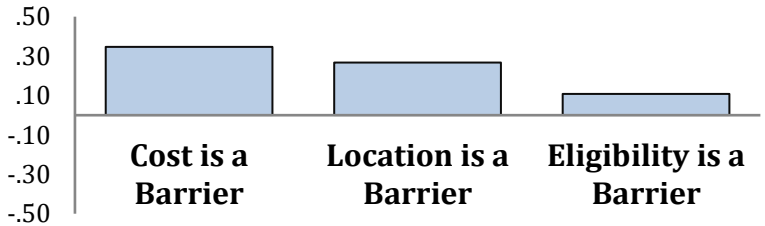
Top 5 **industries**:
1. Technology (20%)
2. Financial Services (8%)
3. Media & Entert (7%)
4. Consumer Prod. (7%)
5. Healthcare (7%)

Top 5 **functional areas**:
1. Strategy (23%)
2. Management (23%)
3. Entrepreneurship (9%)
4. Information Syst. (9%)
5. Finance (8%)

*For all segments, technology was top industry and strategy and management were top functional areas – results did not differ by group; % indicates proportion of boxes checked

Wants an easy (convenient and cost) MBA to **get promoted at existing firm**. They are often older, married, and fewer alumni.

Barriers to Attending UW



Note: unless indicated as %, all reported scores are z-scores, where each increment of .5 represents 17% above average and each decrement (-.5) represents 17% below average.

Demographics
73% (+10) married
29% (+3.9) have kids <5 yrs
67% (-4.6) male
58% (+4.1) within 50 mi. of UW

Degree Timing
32% (+3.1) starting within 1 year
41% (+7.5) starting in 1-2 years
12% (+1.4) starting 2-3 years
3% (-4.0) starting 3+ years
12% (-11) already started

Attendance
Likely to attend UW? -0.08
What proportion of alumni fall into this segment? **24% (*70% undergraduates*)**

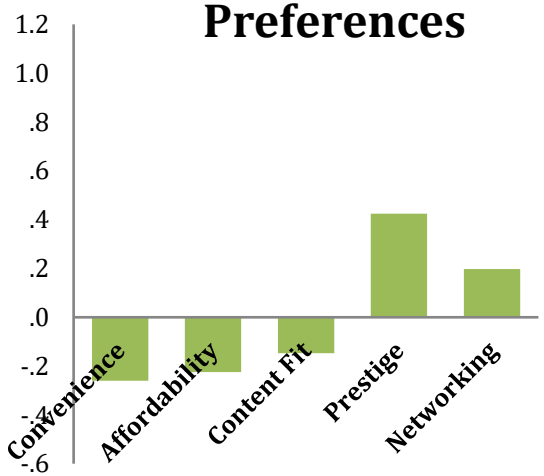
© Palmatier

Interested in **Degree**
Sample Size: 503 (30%)

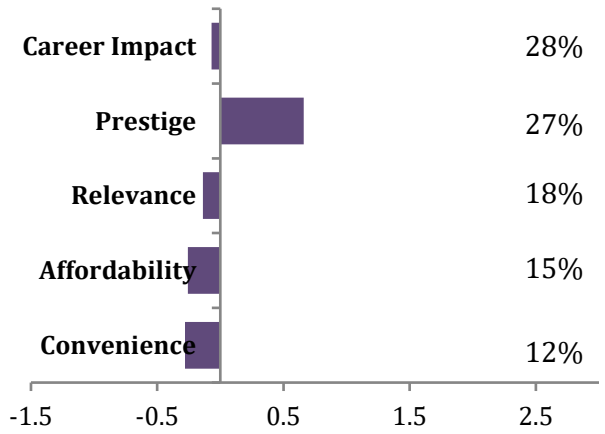
Mobility Minded

Age: 33 (-5%)
Income: $106,084 (-4%)

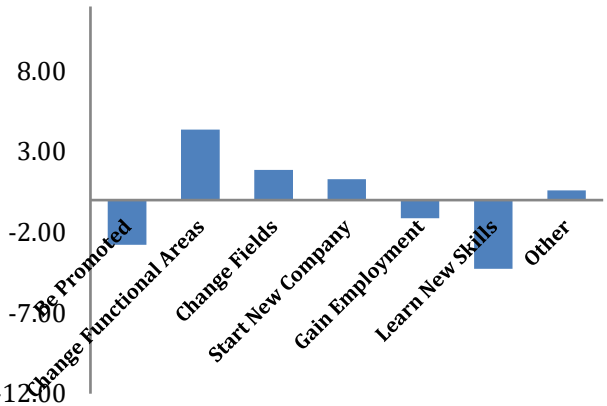
Preferences



Decision Criteria



% Selecting Reason for Degree



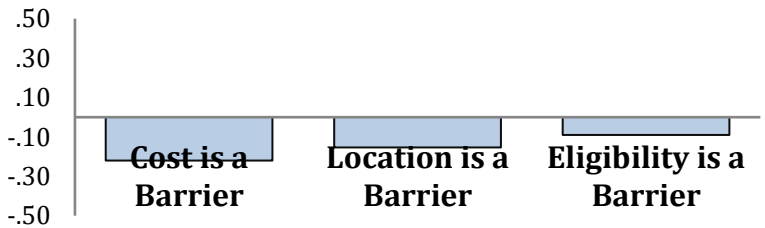
Top 5 **industries**:
1. Technology (17%)
2. Consumer Prod.(9%)
3. Financial Services (8%)
4. Media & Entert. (7%)
5. Healthcare (7%)

Top 5 **functional areas**:
1. Strategy (23%)
2. Management (16%)
3. Entrepreneurship (11%)
4. Marketing (10%)
5. Int'l Business (10%)

*For all segments, technology was top industry and strategy and management were top functional areas – results did not differ by group; % indicates proportion of boxes checked

Wants a **high impact MBA** (status and networking) **to enhance career**. They are also interested in full time MBA/MS programs.

Barriers to Attending UW



Note: unless indicated as %, all reported scores are z-scores, where each increment of .5 represents 17% above average and each decrement (-.5) represents 17% below average.

Demographics

51% (-11) married
22% (-3.2) have kids <5 yrs
73% (+1.8) male
48% (-6.2) within 50 mi. of UW

Degree Timing

26% (-2.4) starting within 1 year
36% (+2.9) starting in 1-2 years
6% (+3.9) starting 2-3 years
9% (-1.2) starting 3+ years
23% (+0.3) already started

Attendance

Likely to attend UW?: **+0.09**
What proportion of alumni fall into this segment? **31%** (*51% undergraduates*)

© Balmatier

MBA Example: Targeting Segments



Attractiveness

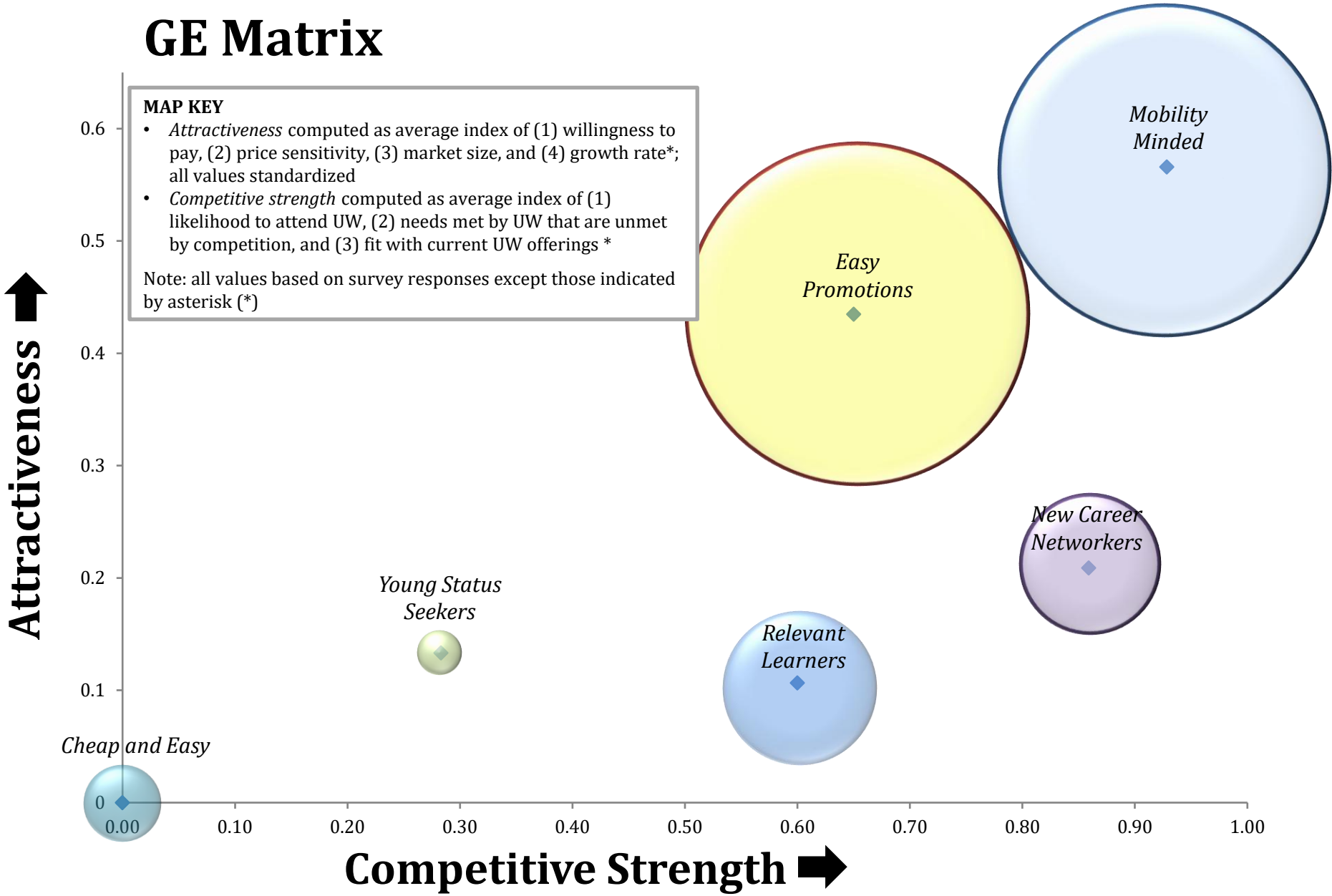
1. Size of segment: proportion of respondents in segment out of total respondents across segments
2. Growth rate: estimation using segment information
3. Price sensitivity: importance-weighted measure of affordability rating

Competitive strength

1. Likelihood to attend UW: self-reported likelihood to attend UW
2. Relative competitive strength: an index of segment needs met by UW that are unmet by top 3 best competitors; computed as difference between UW perception and segment need, summed for each need and compared to top 3 competitors, for each segment
3. Fit with current UW offerings: estimation based on segment preferences and UW current offerings

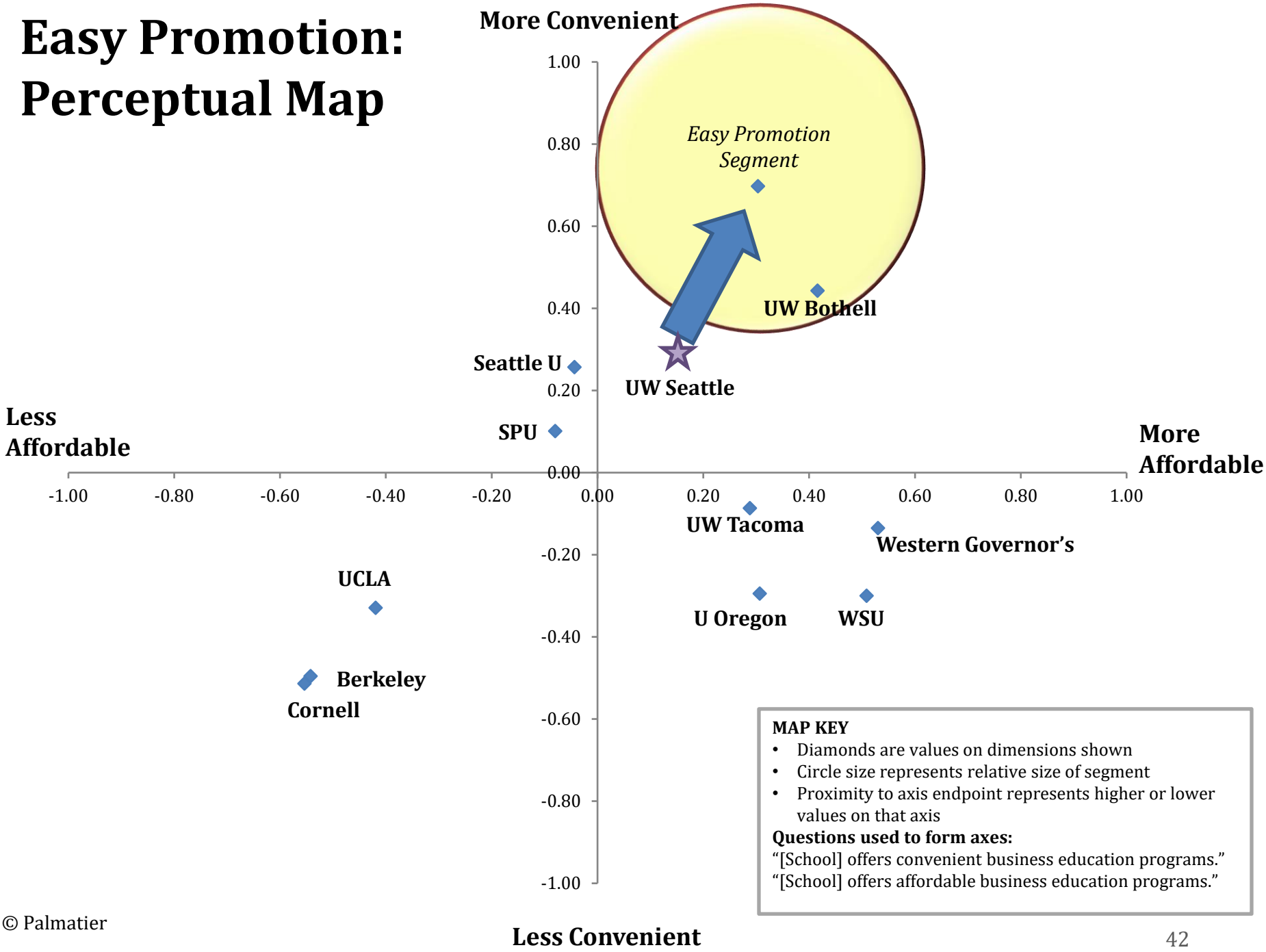
© Palmatier

GE Matrix



© Palmatier

Easy Promotion: Perceptual Map



MAP KEY

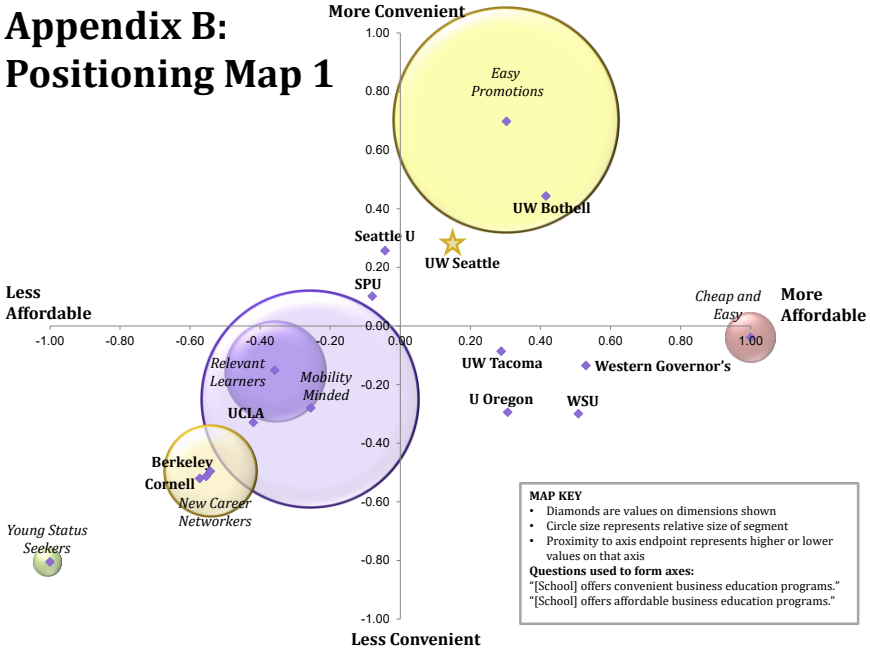
- Diamonds are values on dimensions shown
- Circle size represents relative size of segment
- Proximity to axis endpoint represents higher or lower values on that axis

Questions used to form axes:

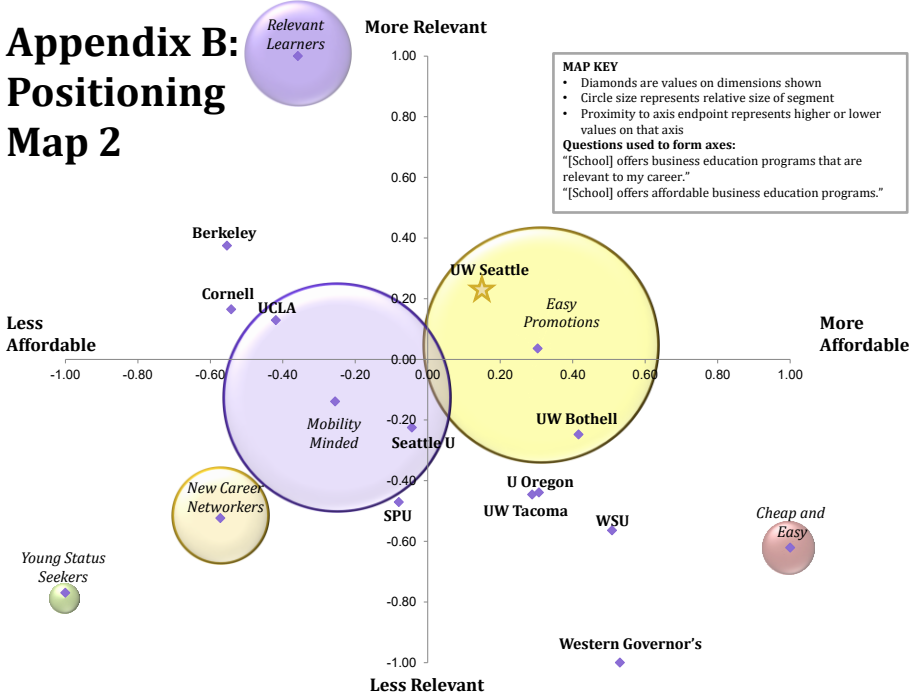
"[School] offers convenient business education programs."
"[School] offers affordable business education programs."

© Palmatier

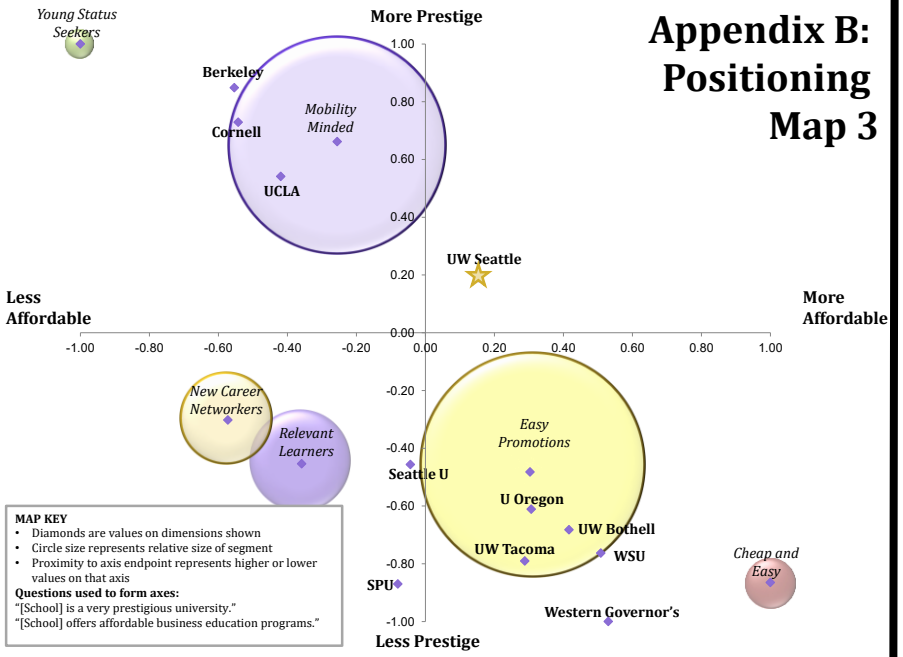
Appendix B: Positioning Map 1



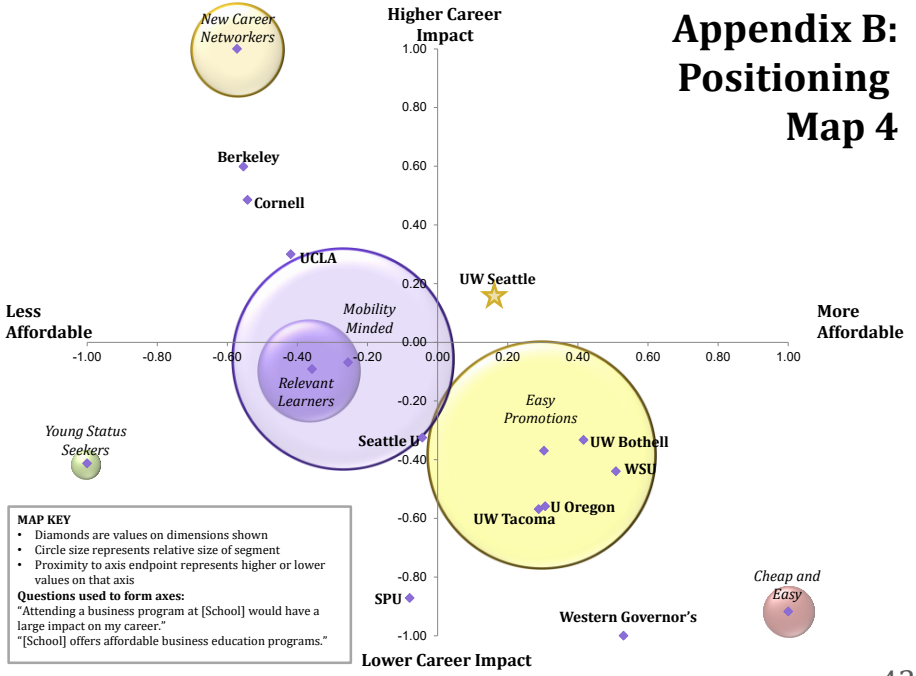
Appendix B: Positioning Map 2



Appendix B: Positioning Map 3



Appendix B: Positioning Map 4



© Palmatier

Exercise: Take 5 Minutes and Describe your Firm's STP



1. Segmenting: (slices of the the pie):

   _____

   _____

2. Targeting: (your firm's slice)

   _____

   _____

3. Positioning: (who, what, and why/support)

   _____

   _____

© Palmatier

Customer-Centric Approach



- The customer-centric approach to managing customer heterogeneity is a company-wide philosophy that places customers' needs at the center of an organization's strategic process and uses the insights to make decisions

- Successful customer centricity depends on a strong **market orientation**

- A marketing orientation comprises three dimensions:
  1. Intelligence generation ("We often meet with customers to understand their future needs")
  2. Intelligence dissemination ("There is a high level of communication among our employees about customers")
  3. Responsiveness ("We respond quickly to customers needs")

© Palmatier

What Does it Mean for a Firm to be Customer Centric?



- Places customer at center of organization's vision/mission/strategy/structure/culture/metrics
- **Input:** uses customers' needs to drive decisions
  - Customer and channel councils
  - USAA managers spend a day per month in call center
- **Output:** measures success from customer's perspective
  - Customer satisfaction
  - Net Promoter Score (NPS), loyalty
- **Processes:** systems to link customer data to all aspects of firm
  - Compensation (Enterprise car rental)
  - Scorecards and dashboards

© Palmatier

Example: Sainsbury's (UK)

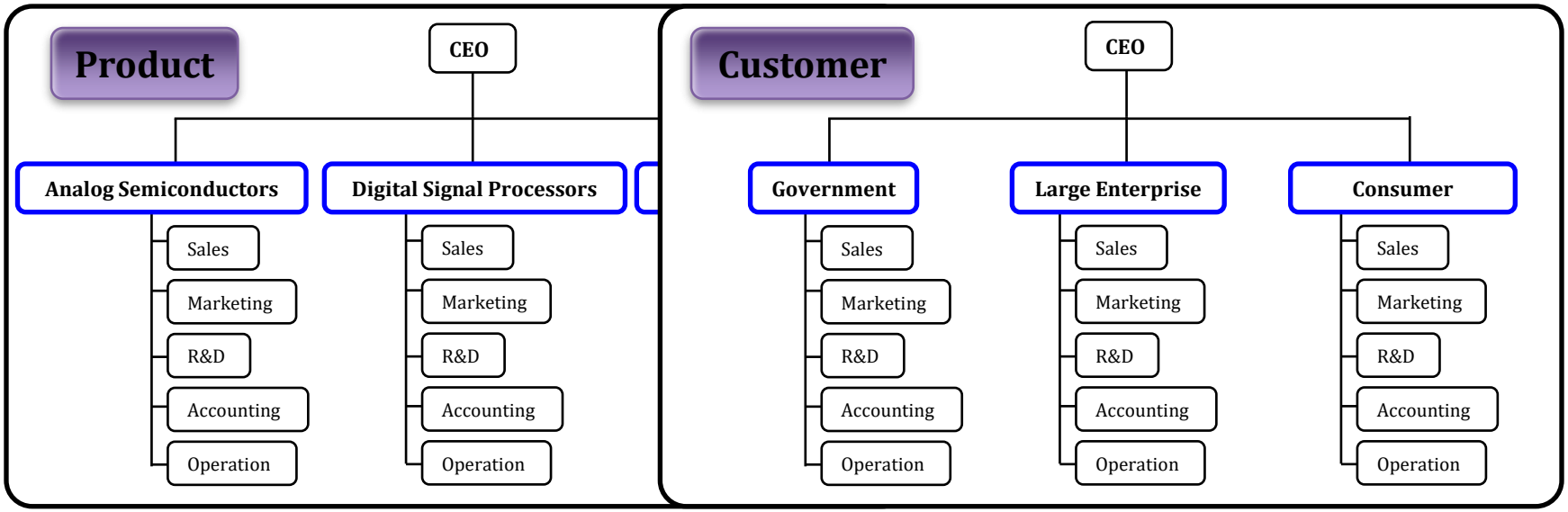


- UK's second largest supermarket
- By talking to customers, realized that customers' purchase decisions were based on three key factors: product quality, ease of shopping, and access to multichannel interfaces
- Invested in R&D, store location, and IT infrastructure

© Palmatier

Firms are Shifting Toward a Customer-Centric Structure

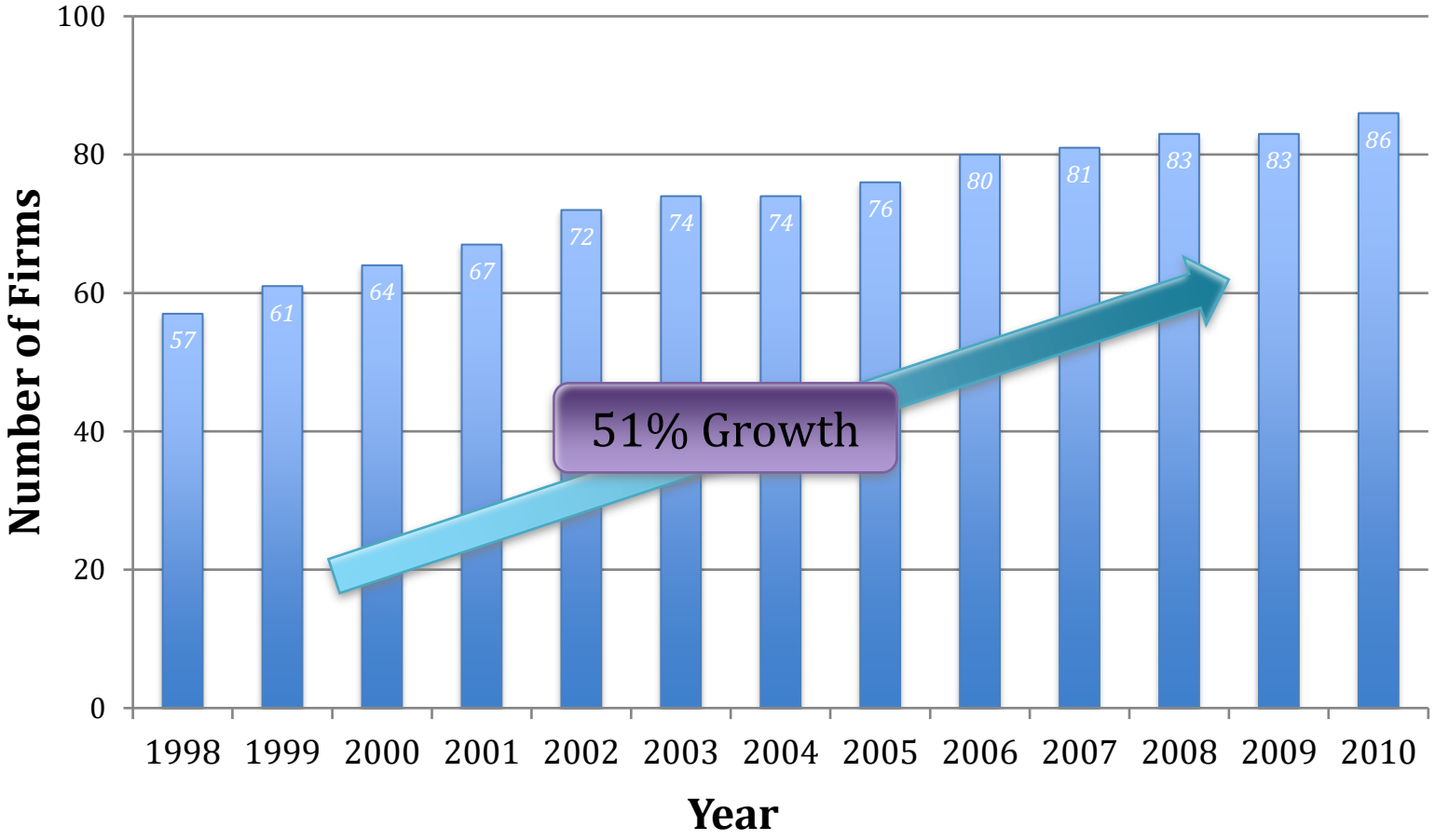
"So rather than relying on a structure focused on the company's discrete **product lines**, Intel's reorganization will bring together engineers, software writers, and marketers into **five market-focused units**: corporate computing, the digital home, mobile computing, health care, and channel products—PCs for small manufacturers." (*BusinessWeek*).



© Palmatier

(Lee, Sridhar, Palmatier, and Henderson 2015)

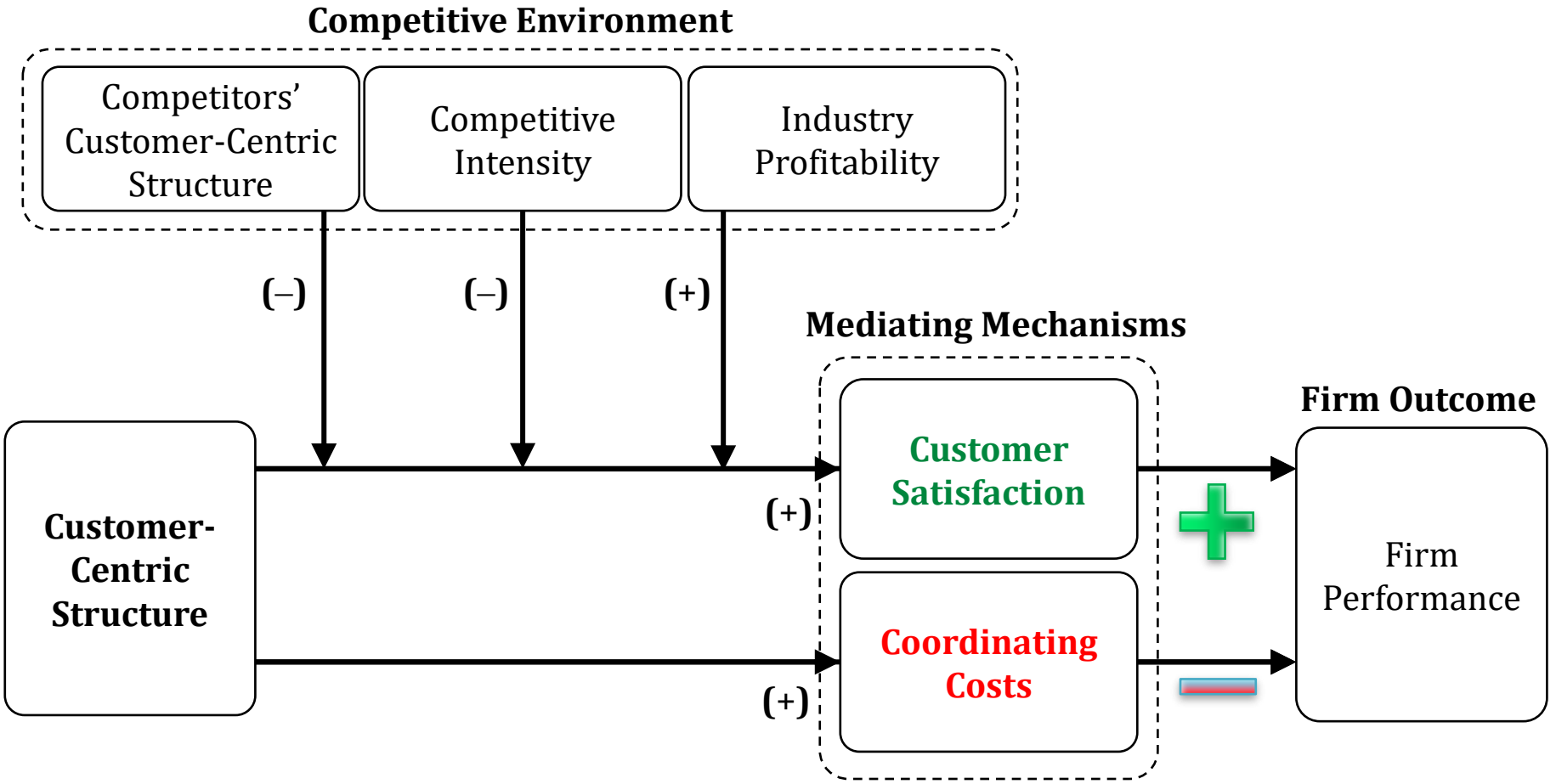
Trend of Customer-Centric Structures in the *Fortune* 500 Firms



© Palmatier

(Lee, Sridhar, Palmatier, and Henderson 2015)

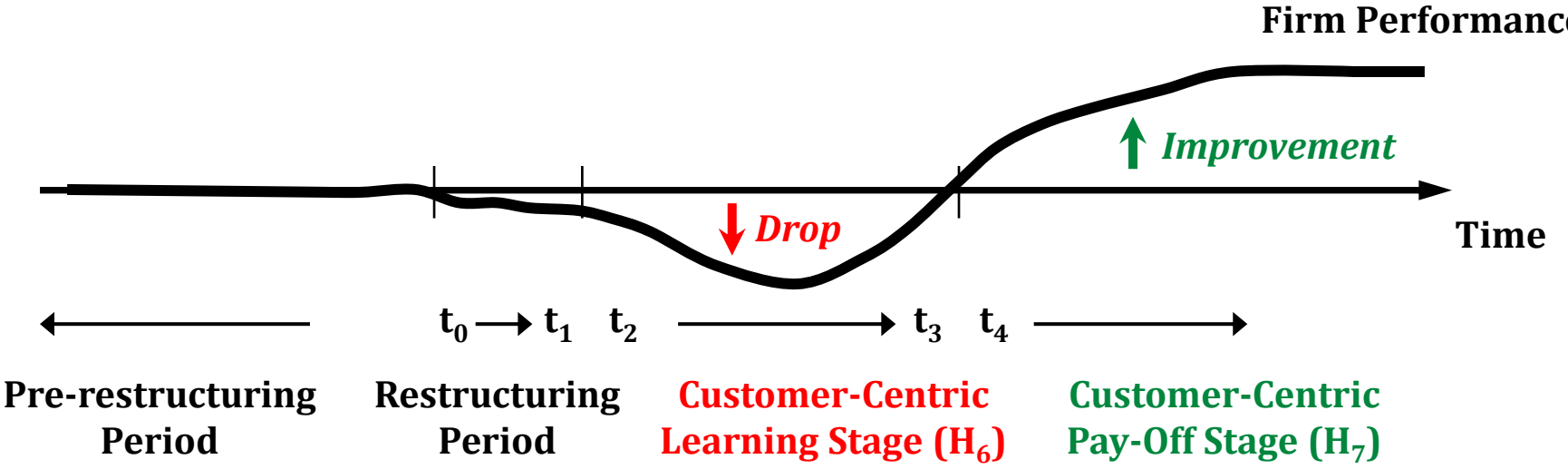
How and When Does a Customer-Centric Structure Payoff



© Palmatier

(Lee, Sridhar, Palmatier, and Henderson 2015)

Dynamic Effects of Customer-Centric Restructuring on Firm Performance



On average, firms that switched to a customer-centric structure initially perform worse than before the restructuring (customer-centric learning stage), but after about 9 or 10 quarters, their performance exceeds pre-restructuring levels (customer-centric pay-off stage)

© Palmatier

(Lee, Sridhar, and Palmatier 2015)